

Critical Third Parties

Source: <https://www.prarulebook.co.uk/prarules/critical-third-parties/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:53

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a critical third party in connection with the provision of services wherever those services are carried out.

1.2

In this Part, the following definitions shall apply:

affected firm

means, in relation to a CTP operational incident:

1. (1) any firm to which the critical third party supplies a systemic third party service impacted by that CTP operational incident; or
2. (2) any firm whose assets are, or may be, seriously and adversely impacted by that CTP operational incident.

asset

means something, whether tangible or intangible, that is of value, including people, data, information, infrastructure, finances and reputation.

Bank

means the Bank of England, other than when it is acting in its capacity as the PRA.

collective incident response framework

means any group involving firms, the regulators or a combination thereof, whose purpose is to facilitate a collective response to incidents that may adversely affect the UK's financial sector or parts of it.

CTP duties

means the duties and obligations placed upon a critical third party by or under FSMA, including the rules in this Part.

CTP Fundamental Rules

means the rules set out in 3.1 to 3.6.

CTP operational incident

means either a single event or a series of linked events that:

1. (1) causes serious disruption to the delivery of a systemic third party service; or
2. (2) impacts the critical third party's operations such that the availability, authenticity, integrity or confidentiality of assets belonging to firms which a critical third party has access to as a result of it providing a systemic third party service to those firms is or may be seriously and adversely impacted.

disruption

includes, in relation to a systemic third party service:

1. (1) complete or partial failure of that service;
2. (2) complete or partial degradation to the quality of that service;
3. (3) complete or partial unavailability of that service; or
4. (4) the service not performing as intended as a whole or in part.

incident management playbook

means a document setting out at least the matters required by 4.10(3).

incident management playbook exercise

means a simulation of a CTP operational incident (based on severe but plausible scenarios) designed to assess the effectiveness of one or more aspects of a critical third party's incident management playbook.

key nth-party provider

means a person that is part of a critical third party's supply chain and is essential to the delivery of a systemic third party service to one or more firms.

oversight function

means a function conferred by FSMA on a regulator in relation to critical third parties.

regulator

means:

1. (1) the PRA;
2. (2) the FCA; or
3. (3) the Bank,

and 'regulators' means the PRA, the FCA and the Bank.

relevant document

has the meaning given in regulation 1 of the Financial Services and Markets Act 2000 (Service of Notices) Regulations 2001 (SI 2001/1420).

supply chain

means the network of persons that provide infrastructure, goods, services or other inputs directly or indirectly used by a critical third party to deliver, support or maintain a systemic third party service.

systemic third party service

means a service (wherever carried out) provided by a critical third party to one or more firms a failure in, or disruption to,

the provision of which (either individually or, where more than one service is provided, taken together) could threaten the stability of, or confidence in, the UK financial system.

2

Interpretative Provisions

2.1

Unless the contrary intention appears, any reference in this Part to a regulator or the regulators is a reference:

1. (1) when the relevant oversight function is exercised by the PRA, to the PRA;
2. (2) when the relevant oversight function is exercised by the FCA, to the FCA;
3. (3) when the relevant oversight function is exercised by the Bank, to the Bank.

3

Critical Third Party Fundamental Rules

3.1

CTP Fundamental Rule 1: A critical third party must conduct its business with integrity.

3.2

CTP Fundamental Rule 2: A critical third party must conduct its business with due skill, care and diligence.

3.3

CTP Fundamental Rule 3: A critical third party must act in a prudent manner.

3.4

CTP Fundamental Rule 4: A critical third party must have effective risk strategies and risk management systems.

3.5

CTP Fundamental Rule 5: A critical third party must organise and control its affairs responsibly and effectively.

3.6

CTP Fundamental Rule 6: A critical third party must deal with each regulator in an open and cooperative way and must disclose to each regulator appropriately anything relating to the critical third party of which it would reasonably expect notice.

3.7

1. (1) 3.6 applies to a critical third party in respect of a critical third party's provision of any services to firms; and
2. (2) 3.1 to 3.5 only apply to a critical third party in respect of the critical third party's provision of systemic third party services to firms.

4

Operational Risk and Resilience Requirements

4.1

A critical third party must have in place sound, effective and comprehensive strategies, controls, processes and systems that enable it to comply with this Part.

4.2

The strategies, processes and systems required by 4.1 must be proportionate to the nature, scale and complexity of the critical third party's activities.

Requirement 1: Governance

4.3

A critical third party must ensure that its governance arrangements promote the resilience of any systemic third party service it provides, including by:

1. (1) appointing one or more individuals who:
 1. (a) are employees of the critical third party or members of its governing body; and
 2. (b) possess the appropriate authority, knowledge, skills and experience,
3. to act as the central point of contact with the regulators in their capacity as authorities having oversight functions;
2. (2) establishing clear roles and responsibilities at all levels of its staff who are essential to the delivery of a systemic third party service, with clear and well-understood channels for communicating and escalating issues and risks;
3. (3) establishing, overseeing and implementing an approach that covers the critical third party's ability to prevent, respond and adapt to, as well as recover from, any CTP operational incident;
4. (4) implementing lessons learned from CTP operational incidents and any testing and exercising undertaken, including but not limited to that undertaken in accordance with 5;
5. (5) ensuring appropriate review and approval of any information provided to the regulators;
6. (6) notifying the regulators in writing of:
 1. (a) the names of the individuals appointed under (1);
 2. (b) the business address of those individuals; and
 3. (c) the email address, telephone number and out of hours contact details for each of those individuals; and
7. (7) notifying the regulators of any changes to the information notified under (6) as soon as is practicable.

Requirement 2: Risk management

4.4

A critical third party must manage effectively risks to its ability to deliver a systemic third party service including by:

1. (1) identifying and monitoring relevant external and internal risks;
2. (2) ensuring that it has in place risk management processes that are effective at managing those risks; and
3. (3) regularly updating its risk management processes to reflect issues arising and lessons learned from:
 1. (a) CTP operational incidents;
 2. (b) engagement with the regulators;
 3. (c) new and emerging risks; and
4. (d) any associated testing and exercising, including but not limited to that carried out in accordance with 5.

Requirement 3: Dependency and supply chain risk management

4.5

A critical third party must (as part of its obligation under 4.4) identify and manage any risks to its supply chain that could affect its ability to deliver a systemic third party service.

4.6

A critical third party must take reasonable steps to ensure that its key nth-party providers and persons connected with a critical third party that are part of its supply chain:

1. (1) are informed of the CTP duties that apply to the critical third party;
2. (2) cooperate with the critical third party in meeting those CTP duties; and
3. (3) provide the regulators with access to any information relevant to the exercise of their oversight functions.

Requirement 4: Technology and cyber resilience

4.7

A critical third party must (as part of its obligation under 4.4) take reasonable steps to ensure the resilience of any technology that delivers, maintains or supports a systemic third party service, including by having:

1. (1) (as part of its obligation under 4.1) sound, effective and comprehensive strategies, processes and systems to adequately manage risks to its technology and cyber resilience; and
2. (2) regular testing and exercising of those strategies, processes and systems (including as part of its obligations under 5) and processes and measures that reflect lessons learned from that testing and exercising.

Requirement 5: Change management

4.8

A critical third party must ensure that it has a systematic and effective approach to dealing with changes to a systemic third party service, including changes to the processes or technologies used to deliver, maintain or support a systemic third party service, including by:

1. (1) implementing appropriate policies, procedures and controls to manage effectively the resilience of any change to a systemic third party service;
2. (2) implementing any change to a systemic third party service in a way that minimises appropriately the risk of any CTP operational incident occurring; and
3. (3) ensuring that prior to being implemented, any change is appropriately risk-assessed, recorded, tested, verified and approved.

Requirement 6: Mapping

4.9

A critical third party must:

1. (1) within 12 months of being designated by the Treasury, identify and document:
 1. (a) the resources, including the persons (including key nth-party providers), assets, supporting services and technology, used to deliver, support and maintain each systemic third party service it provides; and
 2. (b) any internal and external interconnections and interdependencies between the resources identified under (a) in respect of that service; and
2. (2) thereafter regularly update the process conducted under (1).

Requirement 7: Incident management

4.10

A critical third party must manage effectively CTP operational incidents including by:

1. (1) implementing appropriate measures to respond to and recover from CTP operational incidents in a way that minimises the impact, or potential impact, on the stability of, or confidence in, the UK financial system;
2. (2) setting an appropriate maximum tolerable level of disruption to each systemic third party service;
3. (3) maintaining and operating an incident management playbook, the first version of which must be in place within 12 months of the critical third party being designated by the Treasury, which sets out the plans and procedures to be followed by the critical third party in the event of a CTP operational incident in order to:
 1. (a) respond to and recover from the CTP operational incident; and
 2. (b) facilitate effective communication with, and support to, the regulators and affected firms (individually and collectively); and
4. (4) cooperating and coordinating with the regulators and affected firms in response to CTP operational incidents, including through collective incident response frameworks.

Requirement 8: Termination of a systemic third party service

4.11

A critical third party must have in place appropriate measures to respond to a termination of any of its systemic third party services (for any reason), including by putting in place:

1. (1) arrangements to support the effective, orderly and timely termination of that service, and (if applicable) its transfer to another person, including the firm the service is provided to; and
2. (2) provision for ensuring access to, recovery and return of any relevant firm assets to each firm it provides that service to and (where applicable) in an easily accessible format.

5

Assurance, Scenario Testing and Incident Management Playbook Exercise

General evidence requirement

5.1

A critical third party must be able to demonstrate to the regulators its ability to comply with this Part.

Scenario testing

5.2

As part of its obligation under 5.1, a critical third party must carry out regular scenario testing of its ability to continue providing each systemic third party service within its appropriate maximum tolerable level of disruption (set in accordance with 4.10(2)) in the event of a severe but plausible disruption to its operations.

5.3

When carrying out the scenario testing required by 5.2, a critical third party must identify an appropriate range of adverse circumstances of varying nature, severity and duration relevant to its business, risk profile and supply chain and consider the risks to the delivery of the systemic third party service in those circumstances.

Incident management playbook exercise

5.4

As part of its obligation under 5.1, a critical third party must assess the effectiveness of its incident management playbook regularly, including undertaking an appropriate incident management playbook exercise with a representative sample of the firms to which it provides systemic third party services within 12 months of the critical third party being designated by the Treasury and at least biennially thereafter.

5.5

A critical third party must, as soon as is practicable, prepare and submit to the regulators a report of the incident management playbook exercise undertaken under 5.4 (including any actions taken in the light of the results of that exercise).

6

Self-Assessment

6.1

A critical third party must provide to the regulators:

1. (1) within three months of the critical third party being designated by the Treasury, an interim self-assessment; and
2. (2) annually thereafter, an annual self-assessment,

of the critical third party's compliance with this Part.

6.2

A critical third party must keep a copy of each interim and annual self-assessment referred to in 6.1 for a period of at least three years after submitting it to the regulators.

7

Information Sharing with Firms

7.1

A critical third party must have in place effective and secure processes and procedures to ensure sufficient and timely information is given to a firm to which it provides any systemic third party services to enable that firm to manage adequately risks related to its use of the critical third party's systemic third party services.

7.2

The information referred to in 7.1 includes, but is not limited to:

1. (1) results of testing and exercising carried out in accordance with 5 (including any action taken in the light of the results of the testing and exercising);
2. (2) the annual self-assessment prepared in compliance with 6.1(2), redacted as appropriate; and
3. (3) the appropriate maximum tolerable level of disruption set by the critical third party in accordance with 4.10(2) for each systemic third party service provided to the firm.

8

Incident Reporting

Initial incident report

8.1

A critical third party must, as soon as is practicable after the occurrence of a CTP operational incident and in so far as it is aware at the time of submission, submit the following information about the CTP operational incident:

1. (1) to the regulators and to affected firms:
 1. (a) a description of the CTP operational incident, including:
 1. (i) the nature and extent of:
 1. (1) the disruption to systemic third party services; or
 2. (2) impact to the critical third party's operations;
 2. (ii) the time when the CTP operational incident was detected (and, if different, the local time in the location where the CTP operational incident was detected);
 3. (iii) the name and number of systemic third party services affected;
 4. (iv) the geographical area, including the jurisdictions, affected by the CTP operational incident; and
 5. (v) if known, the cause of the CTP operational incident;
 2. (b) contact details of any individual who is responsible for communicating with the affected firms about the CTP operational incident;
 3. (c) details of any initial action taken or planned in response to the CTP operational incident;
 4. (d) the anticipated amount of time it will take to resolve the CTP operational incident, including the anticipated recovery time for each systemic third party service affected; and
 5. (e) any other information the critical third party reasonably considers relevant to the affected firms and the regulators in making an initial assessment of the CTP operational incident's potential impact on affected firms,
2. and
3. (2) to the regulators:
 1. (a) the names of the affected firms;
 2. (b) the names of any other regulatory body or authorities (other than the regulators) that have been notified of the CTP operational incident; and
 3. (c) any other information that the critical third party reasonably considers will assist the regulators in making an initial assessment of the impact the CTP operational incident could have on the stability of, or confidence in, the UK's financial system.

Intermediate incident report

8.2

A critical third party must, as soon as is practicable after any significant change in circumstances from that described in the initial report submitted under 8.1 and any intermediate incident report already submitted under this rule (including the CTP operational incident being resolved) and in so far as it is aware at the relevant time, provide the regulators and the affected firms with information further to that already disclosed in relation to the CTP operational incident, including but not limited to:

1. (1) any information that the critical third party reasonably considers will assist the regulators and affected firms in understanding the nature and extent of the CTP operational incident;
2. (2) any steps taken to resolve the CTP operational incident;
3. (3) if the CTP operational incident has been resolved, the time and date it was resolved; and
4. (4)
1. (a) any other information which the critical third party reasonably considers to be relevant to affected firms; and

2. (b) to the regulators only, any other information the critical third party reasonably considers to be relevant to the regulators.

Final incident report

8.3

A critical third party must, within a reasonable time of the CTP operational incident being resolved, provide the regulators and the affected firms with the following information in relation to the CTP operational incident:

1. (1) the time and date that the CTP operational incident was resolved;
2. (2) a description of the root causes (in so far as it is aware at the time of submission);
3. (3) a description of any remedial actions the critical third party has or is planning to put in place and an estimated timeline for the completion of those remedial actions;
4. (4) a description of the critical third party's assessment of:
 1. (a) the likelihood of recurrence of the CTP operational incident; and
 2. (b) the long-term implications of the CTP operational incident;
5. (5) a description of identified areas for improvement for the critical third party and, where relevant, the affected firms; and
6. (6)
 1. (a) any other information the critical third party reasonably considers to be relevant to affected firms; and
 2. (b) to the regulators only, any other information the critical third party reasonably considers to be relevant to the regulators.

9

Notifications

9.1

A critical third party must notify the regulators immediately where there is an actual or potential circumstance or event that seriously and adversely impacts, or could seriously and adversely impact, the critical third party's ability to deliver any of its systemic third party services or meet any of its obligations under this Part, including where:

1. (1) civil proceedings are brought by or against the critical third party or a claim or dispute is referred to alternative dispute resolution in any jurisdiction;
2. (2) disciplinary measures or sanctions have been imposed on the critical third party by any statutory or regulatory authority in any jurisdiction (other than the regulators), or the critical third party becomes aware that one of those authorities has commenced an investigation into its affairs
3. (3) the critical third party is in financial difficulty and is considering entering into an insolvency proceeding or a restructuring plan in any jurisdiction, or any such proceedings are likely to be brought against it in any jurisdiction; and
4. (4) the critical third party is subject to criminal proceedings, or has been prosecuted for, or convicted of, a criminal offence in any jurisdiction involving fraud or dishonesty.

10

Inaccurate, False or Misleading Information

10.1

A critical third party must take reasonable steps to ensure that all information it gives to the regulators and firms in

accordance with the CTP duties (including information required by 8 and 9) is:

1. (1) factually accurate or, in the case of estimates and judgements, fairly and properly based after appropriate enquiries have been made by the critical third party; and
2. (2) complete, in that it should include anything of which the regulators would reasonably expect notice.

10.2

If a critical third party is unable to obtain the information required in 10.1, then it must inform the regulators that the scope of the information provided is, or may be, limited.

10.3

If a critical third party becomes aware, or has information that reasonably suggests, that it has or may have provided the regulators with information which was or may have been false, misleading, incomplete or inaccurate, or has or may have changed in a material way, it must notify the regulators immediately.

10.4

Subject to 10.5, the notification required by 10.3 must include:

1. (1) details of the information which is or may be false, misleading, incomplete or inaccurate, or has or may have changed;
2. (2) an explanation of why such information was or may have been provided; and
3. (3) the correct information.

10.5

If the information in 10.4(3) cannot be submitted with the notification (because it is not immediately available), it must instead be submitted as soon as is practicable afterwards.

11

Address for Service

11.1

A critical third party must provide the regulators with an address in the UK for the service of documents (including relevant documents).

11.2

A critical third party must notify the regulators of any change to the information provided under 11.1 as soon as is practicable.

12

Contracts with Skilled Persons and Delivery of Reports

12.1

If a critical third party appoints a skilled person, that critical third party must give the regulators sufficient and timely information about the cost of the skilled person's report or collection or updating of information, including both an initial estimate of the cost as well as the cost of the completed report, collection or updating of information.

12.2

When a critical third party appoints a skilled person, the critical third party must, in a contract with that person:

1. (1) require and permit the skilled person during and after the course of their appointment:
 1. (a) to cooperate with the regulators in connection with the discharge of their oversight functions; and
 2. (b) to communicate to the regulators information on, or the skilled person's opinion on, matters of which they have, or had, become aware in their capacity as a skilled person reporting on the critical third party in the following circumstances:
 1. (i) the skilled person reasonably believes that the information on, or their opinion on, matters for which they were appointed may be of material significance to the regulators in determining whether the critical third party concerned complies with and will continue to comply with the CTP duties; or
 2. (ii) the skilled person reasonably believes that the critical third party is not, may not be or may cease to be a going concern;
2. (2) require the skilled person to prepare a report or collect or update information, as notified to the critical third party by the regulator that has required such report, collection or updating within the time specified by the regulator; and
3. (3) waive any contractual or other duty of confidentiality owed by the skilled person to the critical third party which might limit the provision of information or opinion by that skilled person to the regulators in accordance with (1) or (2).

12.3

A critical third party must ensure that the contract it makes with the skilled person under 12.2 requires and permits the skilled person to provide the following to the regulators if requested to do so:

1. (1) interim reports;
2. (2) source data, documents and working papers;
3. (3) copies of any draft reports given to the critical third party; and
4. (4) specific information about the planning and progress of the work to be undertaken (which may include project plans, progress reports including percentage of work completed, details of time spent, costs to date, and details of any significant findings and conclusions).

12.4

A critical third party must ensure that the contract required by 12.2 is:

1. (1) governed by the laws of a part of the UK;
2. (2) in writing, and:
 1. (a) expressly provides that the regulators have a right to enforce the provisions included in the contract under 12.2, 12.3 and 12.4(2)(b) to (d);
 2. (b) expressly provides that, in proceedings brought by the regulators for the enforcement of those provisions, the skilled person is not to have available by way of defence, set-off or counterclaim any matter that is not relevant to those provisions;
 3. (c) if the contract includes an arbitration agreement, expressly provides that the regulators are not, in exercising the right in (a), to be treated as a party to, or bound by, the arbitration agreement; and
 4. (d) expressly provides that the provisions included in the contract under 12.2, 12.3 and 12.4(2) are irrevocable and may not be varied or rescinded without the regulators' consent; and
3. (3) not varied or rescinded in such a way as to extinguish or alter the provisions referred to in (2)(d).

12.5

When a critical third party appoints a skilled person, a critical third party must take reasonable steps to ensure that the

skilled person delivers a report or collects or updates information in accordance with the terms of the skilled person's appointment.

12.6

A critical third party must provide all reasonable assistance to a skilled person appointed to provide a report under section 166 of FSMA (Reports by skilled persons) or to collect or update information under section 166A (Appointment of skilled person to collect and update information) of FSMA (as applied by section 312P of FSMA) and take reasonable steps to ensure that its employees and agents also provide all reasonable assistance to that skilled person.

13

Referring to Oversight by the Regulators or Treasury Designation

13.1

A critical third party must ensure that it does not, and must take reasonable steps to ensure that any person acting on its behalf does not, in any way indicate or imply that the critical third party has the approval or endorsement of any of the regulators by virtue of:

1. (1) its designation as a critical third party; or
2. (2) being overseen by the regulators in respect of services it provides to firms.

13.2

A critical third party must not, and must take reasonable steps to ensure that any person acting on its behalf does not, in any communication indicate or imply that the critical third party's designation by the Treasury or oversight by the regulators confers any advantage to a firm or anyone else in using its services as compared to a service provider who is not designated as a critical third party.

13.3

13.1 and 13.2 do not prevent the making of statements that explain, in a way that is fair, clear and not misleading:

1. (1) that the critical third party has been designated by the Treasury;
2. (2) that the critical third party is subject to oversight by the regulators in respect of the systemic third party services it provides to firms; and
3. (3) the systemic third party services the critical third party provides to firms.

14

Record Keeping

14.1

A critical third party must arrange for orderly records to be kept of its business and internal organisation, in so far as they concern the provision of systemic third party services to firms, which must be sufficient to enable each regulator to:

1. (1) perform its oversight functions; and
2. (2) ascertain whether or not the critical third party has complied with its CTP duties.

15

Electronic Submission of Information

15.1

A critical third party must submit the information required under this Part to the regulators and affected firms (as the context requires) by electronic means.